Table 5.5 Estimated MI Parameters

Scenario	a_1	a_2	a_3	a_4	b_1	R^2
All Data	708	0.55	0.71	0.50	0.98	0.42
Large Cap	687	0.70	0.72	0.35	0.98	0.43
Small Cap	702	0.47	0.69	0.60	0.97	0.43
Buy	786	0.58	0.74	0.60	0.90	0.43
Sell	643	0.44	0.67	0.60	0.98	0.43
Large—Buy	668	0.68	0.68	0.45	0.90	0.43
Large—Sell	540	0.52	0.64	0.45	1.00	0.41
Small—Buy	830	0.50	0.76	0.70	0.92	0.43
Small—Sell	516	0.71	0.69	0.10	0.90	0.40
Average:	675	0.57	0.70	0.48	0.95	0.42

than they buy stocks causing the cost to be higher due to the corresponding urgency level and not due to any systematic difference in order side. Third, when managers decide to sell stocks that have fallen out of favor it is often due to fundamentals and corresponds to increased volatility and decreased liquidity, further increasing the cost to trade. Managers often select stocks to hold in their portfolio under the most favorable of market conditions thus causing the buy orders to be less expensive than the sell orders. Again, this is due to a difference in company fundamental and less favorable explanatory factors. It is not due to any difference in cost due to the side of the order.

Analysis of costs by market cap, however, did find a difference in trading costs. Large cap stocks were less expensive to trade than small cap stocks. This difference was primarily due to small cap stocks having higher volatility and increased stock specific risk—both causing a higher price elasticity to order flow, i.e., increased market impact sensitivity. Additionally, large cap stocks usually have a larger amount of analyst coverage and therefore these stocks often have a lower quantity of information based trading and lower permanent impact. When the market observes increased trading activity in small cap stocks it appears that the belief is due to information based trading. This is also true with small cap index managers who do not try to hold the entire small cap universe but instead seek to minimize tracking error to the index by holding a smaller number of stocks from a universe that they believe will likely outperform the small cap index.

As stated previously, it is possible for the parameters of the model to vary but to still get the same cost estimates. Analysts interested in